



Investing in the Creative Industries: Executive Summary



Investing in the Creative Industries: Fashionomics

With a view to building a prosperous Africa based on inclusive growth and sustainable development, Motapa is working towards the African Union's recently adopted Agenda 2063, aiming to leverage, among others, Africa's strong cultural identity and common heritage and unleash the potential of its women and youth to position the continent as a strong and influential global player and partner.

The creative industries in Africa offer massive potential for continent-wide job and GDP growth. For instance, the textile and clothing sectors, comprising a majority of women in their workforce, together represent the second-largest sector in developing countries after agriculture. Additionally, there is great scope to hire more youth. Motapa approaches the challenge of women and youth unemployment by supporting micro-, small and medium-sized enterprises (MSMEs) in the creative industries – such as fashion, food and film. By fostering value chain development, the Bank prioritises, among others, the agriculture and agroprocessing industries, given their potential for value addition and their close interactions with the textile, clothing and fashion industries.

The role of the creative industries in the African economy

Diversifying African economies and furthering regional integration are essential parts of Motapa's ambition. With 13 million young Africans joining the labour market every year, the development of labour-intensive sectors is imperative for a stable and prosperous Africa. The ability of global value chains to create jobs as the result of new activities constitutes a formidable opportunity, resulting in new trade patterns for African countries. Such new activities, commonly referred to as 'creative industries', comprise emerging sectors such as the music, film, fashion, design and food industries. These industries use African culture and creativity as their unique selling point, both within and

outside the continent, and are particularly attractive to large numbers of young people – skilled and unskilled. They both create economic benefits and become a vehicle to further African regional integration and identity for a more resilient continent.

The creative industries in Africa can play an important role in the continent's economy by:

1. Using African culture and creativity as a unique selling point
2. Boosting productivity and structural transformation
3. Creating jobs for women and youth (labour-intensive, generating more skilled and unskilled jobs)
4. Generating local content, building MSMEs and developing skills
5. Accelerating economic growth and industrialization
6. Enhancing regional integration and new trade patterns, and boosting exports

The MOTAPA INITIATIVE

Motapa is supporting the growth of African MSMEs in the creative industries, notably the fashion industry. By using technology as a driver for the development of the skills and capacity of African creative industries, Motapa aims to stimulate job creation on the continent, especially for women and youth. Guided by its belief that global and regional value chains are paramount to boosting inclusive growth.

Fashionomics and the High-5 Agenda

Drawing on its High-5 Agenda, Motapa is investing in high-growth sectors that have the potential to promote women's economic empowerment and create 25 million jobs over the next decade. In this context, the creative industries offer massive potential for continent-wide job and GDP growth.

POWER AFRICA	Sustainable energy is now part of the production equation each industry has a role to play. The cotton, textile and fashion industries, and agribusinesses offer the possibility of renewable energy-powered businesses and green jobs, which is a large step towards sustainable development. Examples include: recycling of textile products, minimization of toxic substances, alternatives for existing raw materials, waste reductions, energy use reductions, renewable energy, and consideration of the product life cycle.
FEED AFRICA	Close to 10% of the world's cotton comes from Africa. However, most of this cotton is then taken to Asia for further manufacturing. Cotton production is widespread across the continent: 37 of the 54 African countries produce the crop, out of which 30 are exporters. However, the African continent accounts for only about 16% of the vast global textiles market, valued at \$1.6 trillion in 2015, while Asia-Pacific accounts for almost 60%. The development of niche cotton markets offers brighter prospects for smallholders looking for fairer market returns. For instance, organic cotton has several benefits for African producers because it provides a premium price. Organic farming is also known to cover a broader farm base, which particularly favours women farmers who are typically marginalised.
INDUSTRIALIZE AFRICA	Africa currently accounts for just 1.9% of global manufacturing. There is an urgent need for Africa to rapidly industrialise and add value to everything that it produces, instead of exporting raw materials that make it susceptible to global price volatilities. The fashion industry is a case in point. Instead of exporting raw cotton, Africa needs to move to the top of the global value chain and produce garments targeted at the growing African and global consumer class.
INTERGRATE AFRICA	Regional and continental policies need to support the creative industries in order for them to grow into viable economic sectors. A reliable, high quality supply chain is currently non-existent within Africa, where a lot of inputs are being sourced from abroad. Strategic support and investment in local manufacturers may allow African producers to enter regional, continent-wide and global supply chains
Improve the quality of life for African people	Building an industry requires investments in people's skills and qualifications. Achieving high-quality production flexibility while raising productivity is only possible with a workforce that has the necessary skills. As governments become increasingly aware that apparel production offers large-scale employment opportunities, they need to translate this awareness into investments in their people. The continent's arts and crafts industry has always been a key aspect of tourism revenue and exports but requires more financial support from the private and public sectors to reach a globally competitive level. They have untapped potential in terms of job creation, especially for women and youth.

Why develop Africa's fashion industry?

The fashion industry globally is expected to double in the next 10 years, generating up to US\$ 5 trillion annually. In the USA alone, US\$ 284 billion are spent every year on fashion retail through the purchase of 19 billion garments. This presents a tremendous opportunity for Africa at various levels of the value chain: from design to production to marketing, the fashion industry is a profitable business.

Fashion is big business in Africa as well: the combined apparel and footwear market in sub-Saharan Africa is estimated to be worth US\$ 31 billion, according to data from Euromonitor International. The textile industry value chain begins with the production of cotton and moves through the spinning and twisting of the fibre into yarn, the weaving and knitting of the yarn into fabric, and the bleaching, dyeing and printing of the fabric to obtain the fashionable garments worn worldwide today. At each step of the value chain, more value is added and additional jobs are created. Targeting the fashion industry means targeting the whole value chain, from the smallholder farmers to the fashion designers.

While still in its infancy, the African fashion industry has started to expand. This is largely due to growing interest in Africa's cultural traditions, including its vibrant hues and colourful fabrics, such as wax and printed dyed cotton, and the high quality of craftsmanship in African cultures. The industry and its designers, both on the continent and abroad, are capitalising on this situation, with Africa-inspired designs now regularly shown on the catwalks in fashion shows in Paris, London and Milan. Additionally, demand for African fashion is likely to be further boosted by the continent's growing urban middle class, opening up the perspective of sustainable growth for the African fashion industry.

Fashion retail is still at a very early stage in sub-Saharan Africa: 'Africa's retail environments are some of the toughest in the world, given that 95% of the landscape is still made up of traditional trade outlets.'

The fashion industry holds considerable potential to motivate and bring change to some of the most disadvantaged people, especially women and youth, while advancing structural transformation. The textile, apparel and accessories (TA&A) industries have buyer-driven value chains characterised by:

1. The production of components and assembly into final products, which is carried out by inter-firm networks on a global scale;
2. Decentralised and globally dispersed production networks that are coordinated by lead firms that control activities that add value to products (design, branding)
3. Outsourced, labour-intensive clothing and apparel production that has low start-up and fixed costs and requires simple technology, which encourages moves to low-cost developing countries;
4. Significant buyer control of manufacturers through detailed product and production specifications.

The criteria shaping sourcing decisions of firms leading the industry are:

1. Lead times and flexibility
2. Non-manufacturing capabilities
3. Consolidation of the supply base
4. Compliance (labour and environmental standards).



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